

version of him. “Buffett makes a style split roughly mid career,” Jason said of the Oracle of Omaha. “In the first half of his career, he is a classic Benjamin Graham-style value investor. Undervaluation is defined by short-term accounting metrics — low price-to-book, low price-to-cash flow, low price-earnings.”

Then Buffett meets Charlie Munger and he takes on a new definition of value that focuses on stocks that are cheap in relation to the net present value of future cash flows. “In Buffett I,” Jason said, “the prediction of future cash flows is not that big a deal because all you’re trying to do is buy something really cheap in relation to the current year’s balance sheet or the current year’s income statement.

“In Buffett II,” Jason continued, “he has to have some sense of where earnings are going. And that’s why he won’t invest in any companies he can’t understand, because he can’t project earnings.”

Those stocks that are most attractive on a net-present-value basis are the ones that can grow at a high rate. And to grow at an above-average rate, they have to have some kind of sustainable competitive advantage.

These stocks generate high ROEs.

“And that’s where a lot of your 100-baggers come from,” Jason said.

“I’m not saying they can’t come from somewhere else. Other companies will blast away and be 100-baggers, but you can’t see them coming in advance. All you can do is look back in awe at this mining stock that had no assets and no profits and see how it went up 100 times. But your and my ability to find the next one are virtually zero.”

I agree. In looking over the 100-baggers, I’m finding two broad types:

the seemingly random rippers (such as an oil company that hits a gusher) and the more predictable compounders with those high ROEs. Jason prefers the latter.

Let’s just say, hypothetically, he said, Dunkin’ Donuts went public when it had only 35 locations. We would look at it and say, great concept, great economics, great product and it’s only got 35 locations. The United States is a big market. It could have 8,000 locations someday. “That’s the kind of stock that could become a 100-bagger over 20 or 30 years,” Jason said.